INDIAN ECONOMY

LEVEL II

LECTURES

30 YEARS FOR ECONOMIC REFORMS, 1991 – PART - II

MODULE - 40

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THIRTY YEARS FOR ECONOMIC REFORMS OF 1991 ... A CRITICAL APPRAISAL

SUCCESSES

CONSUMER CHOICES INCREASED MANYFOLD!

1. The GDP growth averaged 7% in the 25 years from 1992 to 2017, compared with an average of 5% in the preceding decade and 4% in preceding two decades. Poverty declined fast - between 2004-05 and 2011-12, about 140 million people were pulled above the poverty line.

2. Economic reforms unleashed the energies of the private sector to accelerate economic growth.

3. The choices for the consumer increased with the cost effective products.

4. The Licence Raj was dismantled and industrial controls have gone away.

5. We pledged gold to get IMF loan in 1990 and our foreign exchange reserves were just around $ 1 billion in 1991 and now the reserves are more than $ 500 billion, which is a great achievement.

THIRTY YEARS FOR ECONOMIC REFORMS OF 1991 ... A CRITICAL APPRAISAL

SUCCESSES

CONSUMER CHOICES INCREASED MANYFOLD!

6 Prior to 1991, producers could import capital goods and intermediate goods (with controls), but consumer goods imports were restricted and hence the domestic producers faced no import competition and hence, the country is devoid of quality cost effective consumer products. India lowered import tariffs from an estimated 57.5% in 1992 to 8.9% in 2008.

7 India is now one of the important as well as vibrant Foreign Direct Investment destinations.

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THIRTY YEARS FOR ECONOMIC REFORMS OF 1991 ... A CRITICAL APPRAISAL

THE ECONOMIC REFORMS ALSO RIDDLED WITH SIGNIFICANT FAILURES!

LIFTED ONLY FEW BOATS ... INEQUALITIES WIDENED!

1. There is marked increase in the rich-poor gap subsequent to economic reforms.

2. The Government focus on qualitative improvements in education and healthcare reduced. Though the wealth and incomes of predominantly middleclass and upper middleclass increased, but the expenditure on health and education (as the State retreated from these) increased disproportionately.

3. Environmental concerns were not given desired emphasis, and the work is still in progress even after three decades of economic reforms.

4. Land and labour are the crux of the problems and the Government initiatives could not bring the country out of these two protracted issues, and India is still at the lower end of the middle income group of countries.

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5 Exports as a percentage of GDP, in fact declined during the previous decade and unbridled imports resulted in lack of development of vibrant private sector in manufacturing.

6 The share of manufacturing is almost stagnant at around 14-16% of GDP since economic reforms. The comparative figures for countries like China are around 25- 30%.

7 People migrating from villages are forced to take up low paid, low skilled service sector jobs and that brought its own attendant problems to the nation.

8 Agriculture R&D could not get due importance, and because of climate change and lack of improved varieties, farmers suicides became a major issue during the past two decades.

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THIRTY YEARS FOR ECONOMIC REFORMS OF 1991 ... A CRITICAL APPRAISAL

THE ECONOMIC REFORMS ALSO RIDDLED WITH SIGNIFICANT FAILURES! ❌❌

LIFTED ONLY FEW BOATS ... INEQUALITIES WIDENED!

9 In spite of all the progress, India could not enter Global Value Chains because of our inefficiencies.

10 Even after joining the Free Trade Agreements, Indian exports could not flourish because of lack of competitiveness and lack of participation in the Global Value Chains.

11 In spite of free trade pact with ASEAN, the goal of "Act East" could not be realised.

12 We could not replicate the East Asian experience of rapid growth in the export of labour intensive manufacturing.

THREE SUGGESTIONS TO THE GOVERNMENT IN THIS LIBERALISATION ERA!

1 AVOID PROTECTIONISM

- We should not be regressive and follow protectionist measures by raising tariffs, and staying out of trade agreements.
- The long-term costs of locking ourselves out of global trade can have huge implications for growth and welfare.

Now, India is rightly focusing on signing Free Trade Agreements with various countries. However, the import tariffs, which were increased recently, must be brought down as early as possible.

2 FREE FROM THE FEAR OF UNKNOWN

- Resistance to reforms comes from a fear of the unknown.
- There were apprehensions few years ago about driving out of kirana shops across the country, with the entry of multi-brand retail. Now, Amazon, Flipkart, Reliance Jio are realizing that they cannot ply their trade in India, without tying up with the kirana shops.

Assuaging such concerns emanating out of the fear of the unknown is the hallmark of a mature political leadership!

3 AFFIRMATIVE ACTIONS ARE INEVITABLE

- Reforms tend to sharpen inequalities.
- This calls for affirmative actions to ensure that the benefits are widely shared.

Pushing through India's next generation of reforms demands political dexterity and visionary statesmanship!

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